

**BEFORE THE
FEDERAL MARITIME COMMISSION**

TOYOTA DE PUERTO RICO CORP.,

Complainant,

v.

**PUERTO RICO PORTS AUTHORITY,
CROWLEY PUERTO RICO SERVICES
INC., and OCEANIC GENERAL AGENCY
INC.,**

Respondent.

Docket No. 19-02

**SECTION 11 OF THE SHIPPING
ACT OF 1984**

**MOTION REQUESTING AN ORDER TO COMPEL CLAIMANT
TO RESPOND TO FIVE (5) INTERROGATORIES**

**TO MS. RACHEL E. DICKON
SECRETARY, FEDERAL MARITIME COMMISSION**

COMES NOW respondent **Puerto Rico Ports Authority** (hereinafter the “PRPA”), through its undersigned counsel, and respectfully states and requests as follows:

Pursuant to Federal Maritime Commission Rule of Practice and Procedure 210 (46 C.F.R. § 502.150(a)(2)(“FMC Rule”), PRPA very respectfully seeks an Order to Compel Toyota de Puerto Rico (“Toyota”) to provide direct responses to five (5) interrogatories (numbers 9-13) sent by PRPA related to whether Toyota passed-on the Enhances Security Fees (“ESF”) it was charged by Ocean Carriers to its own end-clients. Toyota has objected to providing that information arguing that PRPA may not raise a “passing-on defense.” PRPA disagrees.

PRPA believes that evidence showing that Toyota did in fact pass-on the ESF charges, which seeks compensation for in the Verified Complaint, is essential to this case and to determining what damages, *if any*, Toyota has suffered. Further, in this particular case there is no difficulty in proving that Toyota passed down those costs through the commercial stream, but it

still wants this Hon. Commission to provide it compensation.

That said, during the deposition of Daniel O'Neill (Toyota's Finance & Accounting Manager), taken on November 5th, Mr. O'Neill admitted that Toyota had in fact passed-on all of the ESF costs to *approximately* twenty-two (22) independently owned auto dealers and two (2) Lexus dealers (Toyota objected to the line of questioning). Thus, according to Mr. O'Neill's testimony, Toyota's direct clients in Puerto Rico compensated Toyota for the sums which Toyota seeks in this case. Further, during that deposition the parties also noted that the Common Carriers, which allegedly charged Toyota to reimburse the ESFs they paid to PRPA, were charging Toyota surcharges.

Basically, in mid-August of this year, the parties exchanged written discovery. Among the requests exchanged was "Respondent's First Set of Interrogatories," sent to Toyota by PRPA. (See, Exh. A.) Interrogatories nine (9) through thirteen (13) of that discovery request seek responses from Toyota related to whether and how it passed-on ESF charges claimed in the Verified Complaint to its clients. In due course, Toyota provided its "Answer to Respondent's First Set of Interrogatories" and objected to that line of questioning. Thus, on September 25th, counsel for the parties met and discussed outstanding discovery and those objections. Subsequently, Toyota provided "Amended Answer to Respondent's First Set of Interrogatories." That response formalized and expanded upon that objection, basing the denial of information upon Antitrust case law related to the passing-on defense. Toyota's counsel also provided a letter explaining Toyota's rationale. The parties had provided notice of this controversy in their "Second Joint Status Report at Part A ¶ 4.

That said, the interrogatories in dispute (at Exh. 3 ¶¶ 9-13) are the following:

9. Confirm whether Claimant passed-on to its retailers or end-clients any purported charges related to ESFs.
10. Confirm whether wholesale prices of Toyota vehicles shipped to Puerto Rico increased as a result of PRPA's imposition of ESFs.
11. Confirm whether retail prices of Toyota vehicles shipped to Puerto Rico increased as a result of PRPA's imposition of ESFs.
12. Confirm whether the purported ESFs paid by Claimant form part of Claimant's Cost of Goods Sold (COGS).
13. Confirm whether the Manufacturer's Suggested Retail Price (MSRP) for Toyota vehicles sold in Puerto Rico covers any portion of ESFs allegedly paid by Claimant.

As to all five interrogatories, Toyota objected to them as follows: Amended Response/Objection: Objection: This interrogatory is hereby objected inasmuch it is vague and ambiguous, and overly broad. Also, the request is irrelevant to Toyota's allegations. The Shipping Act of 1984 provides antitrust immunity in the maritime industry. See, *In re Vehicle Carrier Services Antitrust Litigation*, 2015 WL 5095134 (USDC, D. New Jersey, Not reported in F. Supp. 3d). As interpreted by the United States Supreme Court, in antitrust litigation, "no indirect purchaser is entitled to sue for damages". *California v. ARC America Corp.*, 490 U.S. 92, 100 (1989) ("[W]hatever amount is allocable to federal claims will be distributed only to direct purchasers". *Id.*, at 105.

PRPA's counsel has not been able to locate a single case addressing the Shipping Act and a rejection of a pass-on defense. Moreover when as here, the evidence showing that Toyota was in fact compensated for the alleged economic burden is readily accessible since the costs were reimbursed by approximately twenty-four (24) of Toyota's clients.

The parties have tried their best to resolve this matter, without luck. PRPA adds that the parties had provided notice of this controversy in their "Second Joint Status Report at Part A ¶

4. Note having been able to resolve the matter, PRPA seeks an Order to compel those responses.

WHEREFORE, PRPA very respectfully requests that the Commission issue an Order requiring Toyota to adequately respond to Interrogatories nine (9) through thirteen (13) of Respondents First Set of Interrogatories.

Certificate of Service: I hereby certify that on this same date the foregoing notice was served upon the following attorneys and participants of record: (a) counsel for **Toyota de Puerto Rico Corp.** - Rafael Escalera Rodriguez, Esq. (escalera@reichardescalera.com), Sylvia M. Arizmendi, Esq. (arizmendis@reichardescalera.com), Alan M. Vizcarrondo Santana, Esq. (vizcarrondo@reichardescalera.com).

RESPECTFULLY SUBMITTED.

In San Juan, Puerto Rico, this 12th day of November, 2019.

TREBILCOCK LLC
Metro Office Park
BDG 11 Suite 105^a
Guaynabo, P.R. 00968
Tel: 787-399-1969

Thomas Trebilcock-Horan, Esq.
USDC-PR No. 220514
Email: ttrebilcock@trebilcockrovira.com

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Exh. 1

TOYOTA DE PUERTO RICO CORP.,

Complainant,

v.

**PUERTO RICO PORTS AUTHORITY,
CROWLEY PUERTO RICO SERVICES
INC., and OCEANIC GENERAL AGENCY
INC.,**

Respondent.

Docket No. 19-02

**SECTION 11 OF THE SHIPPING
ACT OF 1984**

**RESPONDENT'S FIRST SET OF
INTERROGATORIES**

TO: Toyota de Puerto Rico, Corp., through its attorney,
Rafael Escalera Rodríguez, Esq.
Reichard & Escalera
MCS Plaza, Suite 1000
255 Ave. Ponce de León
Hato Rey, PR 00918
PO Box 364148
San Juan, PR 00936-4148
escalera@reichardescalera.com

FROM: Puerto Rico Ports Authority, through its attorney,
Thomas Trebilcock-Horan, Esq.
Metro Office Park
Street 1, Building 11, Suite 105A
Guaynabo, PR 00968
ttrebilcock@trebilcockrovira.com

COME NOW Respondent, Puerto Rico Ports Authority, through the undersigned attorney, and respectfully submits the First Set of Interrogatories to Toyota de Puerto Rico, Corp., (hereinafter “Claimant”), pursuant to Rules 26 and 33 of the Federal Rules of Civil Procedure. Said Rules require that said claimant through its representative answer, in writing and under oath and in accordance with the General Instructions, Definitions and Specific Instructions set forth below, each of the following

interrogatories and produce the requested documents on or before September 16, 2019.

I. DEFINITIONS AND INSTRUCTIONS

The following definitions and instructions are deemed to apply to the discovery requested herein:

1. All information is to be divulged which is in the possession, custody or control of Claimant, their attorneys, investigators, agents, employees or other representatives, including all information reasonably available to each of them.

2. The term “person” means any natural person, firm, corporation, partnership, proprietorship, joint venture, organization, trust, group of natural persons or other association separately identifiable, whether or not such an association has a separate juridical existence in its own right. In the case of an individual, the identity of his/her employee must also be provided.

3. The terms “you” and “yours”: Refers to the persons to whom these interrogatories are addressed or any person acting on Claimant’s behalf.

4. The terms “document” or “documents” are intended to include but not necessarily be limited to the following: files, notes, memoranda, correspondence or letters of any kind, intra-departmental or office communications, written statements or reports either signed or unsigned, recorded or taped interviews or statements, maps, plats, photographs, moving or still pictures, diagrams, plans, drawings, specifications, measurements, or other descriptions, agreements, contracts, records or computer printouts, discs, tapes or other memory storage medium.

5. “And” and “or” shall be construed conjunctively or disjunctively as necessary to make each request herein inclusive rather than exclusive.

6. “Include(s)” and “including” shall be construed to mean “without limitation”.

7. The terms “matter” or “issues” or similar references if used herein pertain to subject matter referred to in the Complaint or Answer in the above-captioned matter.

8. The terms “he” or “she”, “him” or “her”, “his” or “hers”, and similar personal pronouns

are used only for sake of convenience and specifically refer to all individuals or legal entities, masculine or feminine, singular or plural as dictated by the context of the instruction, definition or interrogatory.

9. The term “ESF” shall mean the Enhanced Security Fee charged by the Puerto Rico Ports Authority.

10. Where an interrogatory or request calls for an answer involving more than one part or sub-part, each part of the answer should be set forth separately so that it is clearly understandable and responsive to the respective sub-part.

11. When an interrogatory requests that you identify a person, please state that person’s:

- a. Full name;
- b. Present or last known address;
- c. Present or last known telephone number;
- d. Present employer's name and address; and
- e. Position and occupational classification.

12. Unless otherwise directed, when an interrogatory requests that you identify a document or writing, please state:

- a. Its nature (e.g. letter, memorandum, report, etc.);
- b. Its title, if any;
- c. The date it was prepared;
- d. The date it was sent;
- e. The date it was received;
- f. The identity, as defined above, of the person or persons who prepared it, participated in any way its preparation, or signed it; and
- g. A statement of its subject matter.

13. A request for a description or identification with respect to a corporation, partnership or entity other than a natural person, is deemed to be a request for the following information:

- a. Its full business name(s);

- b. Its legal nature or character; and
- c. Its past and present address.

14. A request for the description or identification of verbal communications shall be deemed to include a request for the following information with respect to each verbal communication:

- a. The date and place thereof;
- b. Whether the verbal communication was in person or by telephone;
- c. A description or identification of each person who participated in or heard any part of the verbal communication, in the manner described in paragraph number twelve (12) of these definitions;
- d. The substance of what was said by each person who participated in the verbal communication; and
- e. A chronological description of all documents or recordings, summarizing, confirming or in any manner referring to the verbal communication, in the manner described in paragraph 13 of these definitions.

15. In the event that your answer to an interrogatory or request for the production of documents is “not applicable” or any similar phrase or answer, explain in detail why that interrogatory or request for the production of documents is not applicable.

16. In the event that your answer to an interrogatory is “don't know” or “unknown” or a similar phrase or answer, explain in detail all efforts made by Claimant or Claimant's attorneys or representatives to obtain the answer to that interrogatory or request for the production of documents.

17. If any of the information requested herein is not in the possession of Claimant but is known or believed to be in the possession of another person, identify that person as specified in paragraph number ten (10).

18. In the event an objection is made to any interrogatory or any request for the production of documents or any subpart thereof, the objection shall state with specificity all grounds for the objection.

19. Where a claim of privilege is asserted in objecting to any interrogatory, or subpart thereof, and an answer is not provided or a document is withheld on the basis of such assertion, you are

directed to provide the following information: a statement of the basis for the claim of privilege, including specific identification of any state privilege rule or statute being invoked.

20. Pursuant to Rules 26(e) and 33 of the Federal Rules of Civil Procedure, these interrogatories are deemed to be of a continuing nature. Should Claimant acquire any further information or documents responsive hereto after service of the answers and responses hereto, it is required to serve supplemental answers and responses containing such later acquired information or documents. At the pretrial conference in this action, Respondent will apply for an order directing that Claimant be precluded at the final hearing of this matter from introducing evidence relating to the subject matter of these interrogatories which has not been timely disclosed by the answers and responses or supplemental answers and responses thereto.

21. In responding to these interrogatories and request for the production of documents, and to facilitate for both parties the handling of the document for trial purposes, please transcribe each interrogatory and request for the production of document in full and state your answer immediately thereafter.

II. INTERROGATORIES

1. With regards to you, the person answering these interrogatories, please state your full name, residential address, civil status, job position(s) at Claimant, and a description of the extent of your formal education.

2. Identify each and every person that you know or believe that may have knowledge of the claims alleged in the present action, stating for each, individually:

- a) full name;
- b) home address and phone number;

c) employer's name;

3. Identify and provide contact information for all of the person(s) who will be called as witnesses in by Claimant at the final hearing of this matter.

4. Provide a summary of the contents of the proposed testimony of the person(s) who will be called as witnesses by Claimant at the final hearing of this matter.

5. Confirm whether Claimant disputed any of the rates contractually charged by its ocean freight carriers (and/or shipping agents) shipping its cargo to Puerto Rico.

6. Confirm whether Claimant made any reservation of rights before paying any rates contractually charged by its ocean freight carriers (and/or shipping agents) shipping its cargo to Puerto Rico.

7. Confirm whether Claimant's ocean freight carriers (and/or shipping agents) charged Claimant fees related to the Enhanced Security Fee's ("ESF") as a separate line item in their invoices.

8. Confirm whether Claimant's ocean freight carriers (and/or shipping agents) charged Claimant fees that mirror those charged by PRPA with respect to the ESFs or whether the ocean freight carriers' fees vary in any capacity.

9. Confirm whether Claimant passed-on to its retailers or end-clients any purported charges related to ESFs.

10. Confirm whether wholesale prices of Toyota vehicles shipped to Puerto Rico increased as a result of PRPA's imposition of ESFs.

11. Confirm whether retail prices of Toyota vehicles shipped to Puerto Rico increased as a result of PRPA's imposition of ESFs.

12. Confirm whether the purported ESFs paid by Claimant form part of Claimant's

Cost of Goods Sold (COGS).

13. Confirm whether the Manufacturer's Suggested Retail Price (MSRP) for Toyota vehicles sold in Puerto Rico covers any portion of ESFs allegedly paid by Claimant.

14. Explain all efforts made by Claimant to mitigate the purported damages requested by it.

15. Confirm whether Claimant used the purported payments made by it with respect to ESFs to reduce the amount of taxable income reported to Puerto Rico tax authorities.

16. Confirm whether since October 2011 Claimant has shipped Toyota vehicles to Puerto Rico in containers as opposed to through other alternatives, including Roll On Roll Off.

17. Indicate whether the cargo (i.e. motor vehicles) transported by Claimant to Puerto Rico from October 2011 through 2017, originated from a port outside of the United States of America. If so, indicate from which port(s).

18. Indicate whether the cargo (i.e. motor vehicles) transported by Claimant to Puerto Rico from October 2011 through 2017, where manufactured outside of the United States of America. If so, indicate the jurisdictions where they were manufactured and how were they transported to the Continental United States of America.

19. Identify all *direct* damages purportedly suffered by Claimant as a result of the allegations raised in the Verified Complaint.

20. Identify all *indirect* damages purportedly suffered by Claimant as a result of the allegations raised in the Verified Complaint.

21. Confirm whether Claimant's affiliates or parent company have provided any credits or reimbursement to cover any portion of the purported ESFs paid by Claimant.

22. Explain exactly what entity charged Claimant the ESFs.

23. Did the ocean carriers, including but not limited to Crowley Puerto Rico Services

Inc. and Oceanic General Agency Inc., charge Claimant the ESFs directly or was Toyota Motor Company charged those fees.

24. Explain what role Toyota Motor Corporation has regarding the payment of costs and fees for transporting Toyota products and vehicles to Puerto Rico.

25. Explain whether Claimant reimburse its parent company for the ESFs?

RESPECTFULLY SUBMITTED via e-mail to Claimant's counsel on this same date.

In San Juan, Puerto Rico, this 19th day of August, 2019.

TREBILCOCK LLC

Metro Office Park

BDG 11 Suite 105^a

Guaynabo, P.R. 00968

Tel: 787-399-1969

/s/Thomas Trebilcock-Horan, Esq.

USDC-PR No. 220514

Email: ttrebilcock@trebilcockrovira.com

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

TOYOTA DE PUERTO RICO, CORP.
Complainant

Docket No. 19-02

v.

PUERTO RICO PORTS AUTHORITY;
CROWLEY PUERTO RICO SERVICES;
AND OCEANIC GENERAL AGENCY INC.
Respondents

ANSWERS TO RESPONDENT'S FIRST SET OF INTERROGATORIES

Pursuant to Rule 145 of the Rules of Practice and Procedure, 46 C.F.R. §502.145, Complainant, Toyota de Puerto Rico, Corp. ("Toyota") hereby responds and objects to Respondent's First Set of Interrogatories ("Interrogatories"). The responses and objections set forth herein are based upon the information presently available to Toyota, and Toyota expressly reserves the right to modify, supplement, or amend its responses and objections.

GENERAL OBJECTIONS

The following General Objections form a part of, and are hereby incorporated into, the response to each and every Interrogatory set forth below. Nothing in the Specific Objections and Responses of Toyota should be construed as a waiver of these General Objections.

1. Toyota objects to the Definitions, Instructions, and Interrogatories to the extent that they purport to impose burdens or obligations upon Toyota that are inconsistent with the Rules of Practice and Procedure, the Federal Rules of Civil Procedure, and any other applicable rules

(collectively, the “Applicable Rules”). Toyota will construe the Definitions, Instructions, and Interrogatories consistently with the Applicable Rules.

2. Toyota objects to the Instructions, Definitions, and Interrogatories to the extent that they are vague, ambiguous, uncertain as to time, overly broad, unduly burdensome, confusing, or call for information that is neither relevant to the claims, defenses, or subject matter of, nor reasonably calculated to lead to the discovery of admissible evidence in this action.

3. Toyota objects to the Interrogatories to the extent that they seek information protected by the attorney-client privilege, work product doctrine, or any other applicable law, privilege, doctrine, immunity, or discovery protection. Any inadvertent disclosure of such information shall not be deemed, nor shall it constitute, a waiver of any such privilege or of any other ground for objecting to the discovery or admissibility of such material, its subject matter, or the information contained therein, nor shall such disclosure constitute a waiver of Toyota’s rights to object to the use of such information during this or any other proceeding.

4. Toyota objects to the Interrogatories to the extent that they seek confidential information, including, without limitation, information that is proprietary, commercially sensitive, competitively significant, Personal Health Information, personal information related to Toyota, its affiliates, or its employees, and/or information that is subject to other protective orders, non-disclosure agreements, or other confidentiality obligations to a third party that restricts or prohibits disclosure of such information by Toyota.

5. Toyota objects to the Interrogatories to the extent that they purport to require Toyota to provide information without regard to the limitations of an appropriate protective order sufficient to preserve the confidentiality of sensitive commercial, competitively significant, or personal information.

6. Toyota objects to the Interrogatories to the extent that they: (i) call for Toyota to provide information not in Toyota's possession, custody, or control; (ii) purport to require Toyota to provide information that is publicly available, already in Respondent's possession, custody, or control, or are otherwise available from sources other than Toyota to which Respondent also have access; or (iii) call for information that is available from a more convenient, more efficient, less burdensome, or less expensive source than Toyota or through a more convenient, more efficient, less burdensome, or less expensive means than the Interrogatories.

7. Toyota objects to the Interrogatories to the extent that they are not limited by any reasonable time period, and, therefore, are overly broad, unduly burdensome, oppressive, and call for information that is neither relevant to the claims, defenses, or subject matter of this case, nor reasonably calculated to lead to the discovery of admissible evidence.

8. Toyota reserves all rights to object to the use of any responses herein in any subsequent proceeding, including the trial of this or any other action. To the extent Toyota responds to each Interrogatory, Toyota does not concede that the response is relevant to this action, and Toyota preserves all objections as to authenticity, competency, relevancy, materiality, and admissibility of any documents or information referenced. Toyota expressly reserves the right to object to further discovery into the subject matter of any of the Interrogatories.

9. Toyota objects to the Interrogatories to the extent that they are argumentative, lack foundation, assume the existence of facts that do not exist or the occurrence of events that did not take place or incorporate allegations and assertions that are disputed or erroneous. In responding and objecting to the Interrogatories, Toyota does not admit the correctness of any such assertions.

10. Toyota objects to the Interrogatories to the extent that they seek an expert opinion and/or will be the subject of expert testimony that will be disclosed pursuant to the deadlines established by this Court and agreed to by the parties.

11. Irrespective of whether Toyota provides information in response to the Interrogatories, Toyota further reserves the right (but does not assume the obligation) to: (i) revise, correct, supplement, or clarify the content of this Response in accordance with the Applicable Rules; (ii) provide additional responsive information; (iii) object to further discovery in the case; (iv) rely upon any information provided in the case, including, without limitation, in any hearing, proceeding or trial in this case; and (v) challenge the authenticity or admissibility of any information in any hearing, proceeding or trial.

12. Toyota's Responses reflect only the current state of Toyota's knowledge and information regarding the information that Respondent has requested. Further investigation may identify additional facts or information that could lead to additions to, changes in, or variations from, the Responses herein. Without in any way obligating itself to do so, Toyota expressly reserves the right to supplement, amend, correct, clarify or modify its Response to the Interrogatories as further information becomes available.

OBJECTIONS TO THE DEFINITIONS AND INSTRUCTIONS

1. Toyota objects to the Definitions to the extent they purport to extend terms beyond a reasonable scope and/or their natural meaning. Toyota will interpret the Interrogatories reasonably and in good faith in accordance with common English usage as supplemented by its understanding of the common meanings of terms.

2. Toyota objects to the definition of the terms “You,” and “Your” as vague and ambiguous, overly broad, and unduly burdensome. Toyota further objects to the definition of these terms on the grounds that they purport to include people and entities beyond the named parties that are irrelevant and outside the scope of the case and on the grounds that they purport to impose a burden on Toyota to obtain information from third-parties outside of Toyota’s control. Toyota interprets the terms to mean Toyota, not including any other affiliates, predecessors, successors, or any employees or agents acting on Toyota’s behalf.

3. Toyota objects to the definition of the term “Person” as vague and ambiguous, overly broad, and unduly burdensome.

Subject to, and without waiving any of the foregoing objections, Toyota responds as follows:

SPECIFIC RESPONSES AND OBJECTIONS

1. With regards to you, the person answering these interrogatories, please state your full name, residential address, civil status, job position(s) at Claimant, and a description of the extent of your formal education.

Response: Daniel O’Neill, resident of Dorado, Puerto Rico, married, and Finance and Accounting Manager.

2. Identify each and every person that you know or believe that may have knowledge of the claims alleged in the present action, stating for each, individually:
 - a. Full name;
 - b. home address and phone number;
 - c. employers name;

Responses and objections:

- a. Daniel O’Neill. Toyota reserves the right to announce additional witnesses, if necessary.
- b. This interrogatory is hereby objected inasmuch it requires irrelevant information from the potential witnesses.

c. The potential witness works at Toyota de Puerto Rico, Inc.

3. Identify and provide contact information for all of the person(s) who will be called as witnesses in by Claimant at the final hearing of this matter.

Objection: This interrogatory is hereby objected inasmuch it requires irrelevant information from the potential witnesses.

4. Provide a summary of the contents of the proposed testimony of the person(s) who will be called as witnesses by Claimant at the final hearing of this matter.

Response:

- a. Daniel O'Neill: Wil testify regarding the ESF charged by Crowley and Oceanic, acting as collecting agents for PRPA, from 2012 to 2017, the business relationship between the carriers and Toyota, and the invoices and payments made by Toyota de Puerto Rico, Inc. for that purpose.
5. Confirm whether Claimant disputed any of the rates contractually charged by its ocean freight carriers (and/or shipping agents) shipping its cargo to Puerto Rico.

Response: On May 15, 2017, the plaintiff, through its attorney, emailed P.R.P.A., through its attorney, regarding Oceanic General Agency, Inc.'s continued collection of the ESF and asking that P.R.P.A. notify said company regarding the scope of the regulations implementing the ESF. On May 16, 2017, P.R.P.A. wrote to the Puerto Rico Shipping Association, reminding them of the new ESF regulations (Regulation 8837) and of the holding in *Camara de Mercadeo, Industria y Distribucion de Alimentos v. Vazquez, supra*, enjoining collection of the ESF from shipping operators that are not being scanned.

6. Confirm whether Claimant made any reservation of rights before paying any rates contractually charged by its ocean freight carriers (and/or shipping agents) shipping its cargo to Puerto Rico.

Response: On May 15, 2017, the plaintiff, through its attorney, emailed P.R.P.A., through its attorney, regarding Oceanic General Agency, Inc.'s continued collection of the ESF and asking that P.R.P.A. notify said company regarding the scope of the regulations implementing the ESF. On May 16, 2017, P.R.P.A. wrote to the Puerto Rico Shipping Association, reminding them of the new ESF regulations (Regulation 8837) and of the holding in *Camara de Mercadeo, Industria y Distribucion de Alimentos v. Vazquez, supra*, enjoining collection of the ESF from shipping operators that are not being scanned.

7. Confirm whether Claimant's ocean freight carriers (and/or shipping agents) charged Claimant fees related to the Enhanced Security Fee's ("ESF") as a separate line item in their invoices.

Response: Yes. Oceanic Central Agency issued separate invoices for the ESF. Crowley charges the ESF as a separate line item in their invoices. See, Initial disclosures production.

8. Confirm whether Claimant's ocean freight carriers (and/or shipping agents) charged Claimant fees that mirror those charged by PRPA with respect to the ESFs or whether the ocean freight carriers' fees vary in any capacity.

Objection: This interrogatory is hereby objected inasmuch it is vague and ambiguous, and overly broad.

9. Confirm whether Claimant passed-on to its retailers or end-clients any purported charges related to ESFs.

Response: No.

10. Confirm whether wholesale prices of Toyota vehicles shipped to Puerto Rico increased as a result of PRPA's imposition of ESFs.

Objection: This request is hereby objected inasmuch it is vague and ambiguous, and overly broad. Also, the request is irrelevant to Toyota's allegations.

11. Confirm whether retail prices of Toyota vehicles shipped to Puerto Rico increased as a result of PRPA's imposition of ESFs.

Objection: This request is hereby objected inasmuch it is vague and ambiguous, and overly broad. Also, the request is irrelevant to Toyota's allegations.

12. Confirm whether the purported ESFs paid by Claimant form part of Claimant's Cost of Goods Sold (COGS).

Objection: This request is hereby objected inasmuch it is vague and ambiguous, and overly broad. Also, the request is irrelevant to Toyota's allegations.

13. Confirm whether the Manufacturer's Suggested Retail Price (MSRP) for Toyota vehicles sold in Puerto Rico covers any portion of ESFs allegedly paid by Claimant.

Objection: This request is hereby objected inasmuch it is vague and ambiguous, and overly broad. Also, the request is irrelevant to Toyota's allegations.

14. Explain all efforts made by Claimant to mitigate the purported damages requested by it.

Response: See answers to interrogatories 5 and 6.

15. Confirm whether Claimant used the purported payments made by it with respect to ESFs to reduce the amount of taxable income reported to Puerto Rico tax authorities.

Objection: This interrogatory is hereby objected because it is irrelevant to the issues of the case. Without waiving this objection, the payments made with respect to ESFs were used to reduce the taxable income reported to PR Tax authorities.

16. Confirm whether since October 2011 Claimant has shipped Toyota vehicles to Puerto Rico in containers as opposed to through other alternatives, including Roll On Roll Off.

Response: No.

17. Indicate whether the cargo (i.e. motor vehicles) transported by Claimant to Puerto Rico from October 2011 through 2017, originated from a port outside of the United States of America. If so, indicate from which port(s).

Response: Yes. Veracruz, Mexico; Zeebrugge, Belgium; Toyohashi, Japan.

18. Indicate whether the cargo (i.e. motor vehicles) transported by Claimant to Puerto Rico from October 2011 through 2017, where manufactured outside of the United States of America. If so, indicate the jurisdictions where they were manufactured and how were they transported to the Continental United States of America.

Response: Yes. Some of the motor vehicles transported to Puerto Rico were manufactured in Mexico, Europe and Japan. They were transported by ocean carriers.

19. Identify all *direct* damages purportedly suffered by Claimant as a result of the allegations raised in the Verified Complaint.

Response: Toyota paid \$1,166,952.59 to PRPA on account of the ESF.

20. Identify all *indirect* damages purportedly suffered by Claimant as a result of the allegations raised in the Verified Complaint.

Response: All damages suffered by Toyota were direct.

21. Confirm whether Claimant's affiliates or parent company have provided any credits or reimbursement to cover any portion of the purported ESFs paid by Claimant.

Response: No.

22. Explain exactly what entity charged Claimant the ESFs.

Response: Crowley and Oceanic, acting as collecting agents for PRPA, charged the ESF to Toyota.

23. Did the ocean carriers, including but not limited to Crowley Puerto Rico Services Inc. and Oceanic General Agency Inc., charge Claimant the ESFs directly or was Toyota Motor Company charged those fees.

Response: the ESF was charged directly to Claimant, not Toyota Motor Company.

24. Explain what role Toyota Motor Corporation has regarding the payment of costs and fees for transporting Toyota products and vehicles to Puerto Rico.

Response: None.

25. Explain whether Claimant reimburse its parent company for the ESFs?

Response: No.

I, Daniel O'Neill, swear under penalty of perjury that the foregoing is true and correct.

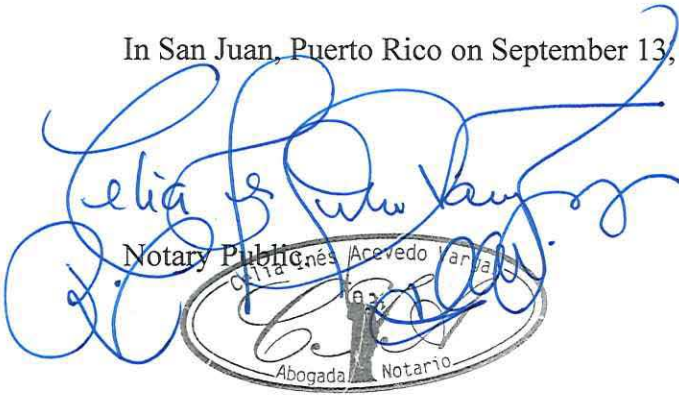


Daniel O'Neill

Affidavit No.

Sworn and subscribed before me by Daniel O'Neill, of legal age, married, resident of Dorado, Puerto Rico, and Accounting Manager of Toyota de Puerto Rico, Inc., which I identified through his driver's license.

In San Juan, Puerto Rico on September 13, 2019.


Notary Public Néstor Acevedo Ariza
Abogada Notario



RESPECTFULLY SUBMITTED.

In San Juan, Puerto Rico, this 16th day of September, 2019.

CERTIFICATE OF SERVICE: We hereby certify that a true and exact copy of the foregoing document has been sent on this same date by electronic means to counsel for PRPA, Thomas Trebilcock, Esq., ttrebilcock@trebilcockrovira.com.

REICHARD & ESCALERA LLC
Attorneys for
Toyota of Puerto Rico
MCS Plaza, Suite 1000
255 Ave. Ponce de León
Hato Rey, PR 00918
P.O. Box 364148
San Juan, PR 00936-4148
Tel: (787) 777-8888/Fax: (787) 765-4225

/s/Sylvia M. Arizmendi

SYLVIA M. ARIZMENDI

Puerto Rico Bar No. 10,337

U.S.D.C. NO. 210714

E-mail: arizmendis@reichardescalera.com

/s/Alana M. Vizcarrondo-Santana

ALANA M. VIZCARRONDO SANTANA

Puerto Rico Bar No.18,840

U.S.D.C. NO. 301614

E-mail: vizcarrondo@reichardescalera.com

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

TOYOTA DE PUERTO RICO, CORP.
Complainant

Docket No. 19-02

v.

PUERTO RICO PORTS AUTHORITY;
CROWLEY PUERTO RICO SERVICES;
AND OCEANIC GENERAL AGENCY INC.
Respondents

AMENDED ANSWERS TO RESPONDENT'S FIRST SET OF INTERROGATORIES

Pursuant to Rule 145 of the Rules of Practice and Procedure, 46 C.F.R. §502.145, Complainant, Toyota de Puerto Rico, Corp. ("Toyota") hereby responds and objects to Respondent's First Set of Interrogatories ("Interrogatories"). The responses and objections set forth herein are based upon the information presently available to Toyota, and Toyota expressly reserves the right to modify, supplement, or amend its responses and objections.

GENERAL OBJECTIONS

The following General Objections form a part of, and are hereby incorporated into, the response to each and every Interrogatory set forth below. Nothing in the Specific Objections and Responses of Toyota should be construed as a waiver of these General Objections.

1. Toyota objects to the Definitions, Instructions, and Interrogatories to the extent that they purport to impose burdens or obligations upon Toyota that are inconsistent with the Rules of Practice and Procedure, the Federal Rules of Civil Procedure, and any other applicable rules

(collectively, the “Applicable Rules”). Toyota will construe the Definitions, Instructions, and Interrogatories consistently with the Applicable Rules.

2. Toyota objects to the Instructions, Definitions, and Interrogatories to the extent that they are vague, ambiguous, uncertain as to time, overly broad, unduly burdensome, confusing, or call for information that is neither relevant to the claims, defenses, or subject matter of, nor reasonably calculated to lead to the discovery of admissible evidence in this action.

3. Toyota objects to the Interrogatories to the extent that they seek information protected by the attorney-client privilege, work product doctrine, or any other applicable law, privilege, doctrine, immunity, or discovery protection. Any inadvertent disclosure of such information shall not be deemed, nor shall it constitute, a waiver of any such privilege or of any other ground for objecting to the discovery or admissibility of such material, its subject matter, or the information contained therein, nor shall such disclosure constitute a waiver of Toyota’s rights to object to the use of such information during this or any other proceeding.

4. Toyota objects to the Interrogatories to the extent that they seek confidential information, including, without limitation, information that is proprietary, commercially sensitive, competitively significant, Personal Health Information, personal information related to Toyota, its affiliates, or its employees, and/or information that is subject to other protective orders, non-disclosure agreements, or other confidentiality obligations to a third party that restricts or prohibits disclosure of such information by Toyota.

5. Toyota objects to the Interrogatories to the extent that they purport to require Toyota to provide information without regard to the limitations of an appropriate protective order sufficient to preserve the confidentiality of sensitive commercial, competitively significant, or personal information.

6. Toyota objects to the Interrogatories to the extent that they: (i) call for Toyota to provide information not in Toyota's possession, custody, or control; (ii) purport to require Toyota to provide information that is publicly available, already in Respondent's possession, custody, or control, or are otherwise available from sources other than Toyota to which Respondent also have access; or (iii) call for information that is available from a more convenient, more efficient, less burdensome, or less expensive source than Toyota or through a more convenient, more efficient, less burdensome, or less expensive means than the Interrogatories.

7. Toyota objects to the Interrogatories to the extent that they are not limited by any reasonable time period, and, therefore, are overly broad, unduly burdensome, oppressive, and call for information that is neither relevant to the claims, defenses, or subject matter of this case, nor reasonably calculated to lead to the discovery of admissible evidence.

8. Toyota reserves all rights to object to the use of any responses herein in any subsequent proceeding, including the trial of this or any other action. To the extent Toyota responds to each Interrogatory, Toyota does not concede that the response is relevant to this action, and Toyota preserves all objections as to authenticity, competency, relevancy, materiality, and admissibility of any documents or information referenced. Toyota expressly reserves the right to object to further discovery into the subject matter of any of the Interrogatories.

9. Toyota objects to the Interrogatories to the extent that they are argumentative, lack foundation, assume the existence of facts that do not exist or the occurrence of events that did not take place or incorporate allegations and assertions that are disputed or erroneous. In responding and objecting to the Interrogatories, Toyota does not admit the correctness of any such assertions.

10. Toyota objects to the Interrogatories to the extent that they seek an expert opinion and/or will be the subject of expert testimony that will be disclosed pursuant to the deadlines established by this Court and agreed to by the parties.

11. Irrespective of whether Toyota provides information in response to the Interrogatories, Toyota further reserves the right (but does not assume the obligation) to: (i) revise, correct, supplement, or clarify the content of this Response in accordance with the Applicable Rules; (ii) provide additional responsive information; (iii) object to further discovery in the case; (iv) rely upon any information provided in the case, including, without limitation, in any hearing, proceeding or trial in this case; and (v) challenge the authenticity or admissibility of any information in any hearing, proceeding or trial.

12. Toyota's Responses reflect only the current state of Toyota's knowledge and information regarding the information that Respondent has requested. Further investigation may identify additional facts or information that could lead to additions to, changes in, or variations from, the Responses herein. Without in any way obligating itself to do so, Toyota expressly reserves the right to supplement, amend, correct, clarify or modify its Response to the Interrogatories as further information becomes available.

OBJECTIONS TO THE DEFINITIONS AND INSTRUCTIONS

1. Toyota objects to the Definitions to the extent they purport to extend terms beyond a reasonable scope and/or their natural meaning. Toyota will interpret the Interrogatories reasonably and in good faith in accordance with common English usage as supplemented by its understanding of the common meanings of terms.

2. Toyota objects to the definition of the terms “You,” and “Your” as vague and ambiguous, overly broad, and unduly burdensome. Toyota further objects to the definition of these terms on the grounds that they purport to include people and entities beyond the named parties that are irrelevant and outside the scope of the case and on the grounds that they purport to impose a burden on Toyota to obtain information from third-parties outside of Toyota’s control. Toyota interprets the terms to mean Toyota, not including any other affiliates, predecessors, successors, or any employees or agents acting on Toyota’s behalf.

3. Toyota objects to the definition of the term “Person” as vague and ambiguous, overly broad, and unduly burdensome.

Subject to, and without waiving any of the foregoing objections, Toyota responds as follows:

SPECIFIC RESPONSES AND OBJECTIONS

1. With regards to you, the person answering these interrogatories, please state your full name, residential address, civil status, job position(s) at Claimant, and a description of the extent of your formal education.

Response: Daniel O’Neill, resident of Dorado, Puerto Rico, married, and Finance and Accounting Manager.

2. Identify each and every person that you know or believe that may have knowledge of the claims alleged in the present action, stating for each, individually:
 - a. Full name;
 - b. home address and phone number;
 - c. employers name;

Responses and objections:

- a. Daniel O’Neill. Toyota reserves the right to announce additional witnesses, if necessary.
- b. This interrogatory is hereby objected inasmuch it requires irrelevant information from the potential witnesses.
- c. The potential witness works at Toyota de Puerto Rico, Inc.

3. Identify and provide contact information for all of the person(s) who will be called as witnesses in by Claimant at the final hearing of this matter.

Objection: This interrogatory is hereby objected inasmuch it requires irrelevant information from the potential witnesses.

4. Provide a summary of the contents of the proposed testimony of the person(s) who will be called as witnesses by Claimant at the final hearing of this matter.

Response:

- a. Daniel O'Neill: Wil testify regarding the ESF charged by Crowley and Oceanic, acting as collecting agents for PRPA, from 2012 to 2017, the business relationship between the carriers and Toyota, and the invoices and payments made by Toyota de Puerto Rico, Inc. for that purpose.
5. Confirm whether Claimant disputed any of the rates contractually charged by its ocean freight carriers (and/or shipping agents) shipping its cargo to Puerto Rico.

Response: On May 15, 2017, the plaintiff, through its attorney, emailed P.R.P.A., through its attorney, regarding Oceanic General Agency, Inc.'s continued collection of the ESF and asking that P.R.P.A. notify said company regarding the scope of the regulations implementing the ESF. On May 16, 2017, P.R.P.A. wrote to the Puerto Rico Shipping Association, reminding them of the new ESF regulations (Regulation 8837) and of the holding in *Camara de Mercadeo, Industria y Distribucion de Alimentos v. Vazquez, supra*, enjoining collection of the ESF from shipping operators that are not being scanned.

6. Confirm whether Claimant made any reservation of rights before paying any rates contractually charged by its ocean freight carriers (and/or shipping agents) shipping its cargo to Puerto Rico.

Response: On May 15, 2017, the plaintiff, through its attorney, emailed P.R.P.A., through its attorney, regarding Oceanic General Agency, Inc.'s continued collection of the ESF and asking

that P.R.P.A. notify said company regarding the scope of the regulations implementing the ESF. On May 16, 2017, P.R.P.A. wrote to the Puerto Rico Shipping Association, reminding them of the new ESF regulations (Regulation 8837) and of the holding in *Camara de Mercadeo, Industria y Distribucion de Alimentos v. Vazquez, supra*, enjoining collection of the ESF from shipping operators that are not being scanned.

7. Confirm whether Claimant's ocean freight carriers (and/or shipping agents) charged Claimant fees related to the Enhanced Security Fee's ("ESF") as a separate line item in their invoices.

Response: Yes. Oceanic Central Agency issued separate invoices for the ESF. Crowley charges the ESF as a separate line item in their invoices. See, Initial disclosures production.

8. Confirm whether Claimant's ocean freight carriers (and/or shipping agents) charged Claimant fees that mirror those charged by PRPA with respect to the ESFs or whether the ocean freight carriers' fees vary in any capacity.

Amended Response: Fees charged by Oceanic General Agency, Inc. mirror the charges with respect to the ESF. As per the contract, Crowley charged \$10.00 per vehicle on account of the ESF.

9. Confirm whether Claimant passed-on to its retailers or end-clients any purported charges related to ESFs.

Amended Response/Objection: Objection: This interrogatory is hereby objected inasmuch it is vague and ambiguous, and overly broad. Also, the request is irrelevant to Toyota's allegations. The Shipping Act of 1984 provides antitrust immunity in the maritime industry. See, *In re Vehicle Carrier Services Antitrust Litigation*, 2015 WL 5095134 (USDC, D. New Jersey, Not reported in F. Supp. 3d). As interpreted by the United States Supreme Court, in antitrust litigation, "no indirect purchaser is entitled to sue for damages". *California v. ARC America Corp.*, 490 U.S. 92, 100 (1989) ("[W]hatever amount is allocable to federal claims will be distributed only to direct purchasers". *Id.*, at 105.

10. Confirm whether wholesale prices of Toyota vehicles shipped to Puerto Rico increased as a result of PRPA's imposition of ESFs.

Amended Response/Objection: Objection: This interrogatory is hereby objected inasmuch it is vague and ambiguous, and overly broad. Also, the request is irrelevant to Toyota's allegations. The Shipping Act of 1984 provides antitrust immunity in the maritime industry. See, *In re Vehicle Carrier Services Antitrust Litigation*, 2015 WL 5095134 (USDC, D. New Jersey, Not reported in F. Supp. 3d). As interpreted by the United States Supreme Court, in antitrust litigation, "no indirect purchaser is entitled to sue for damages". *California v. ARC America Corp.*, 490 U.S. 92, 100 (1989) ("[W]hatever amount is allocable to federal claims will be distributed only to direct purchasers". *Id.*, at 105.

11. Confirm whether retail prices of Toyota vehicles shipped to Puerto Rico increased as a result of PRPA's imposition of ESFs.

Amended Response/Objection: Objection: This interrogatory is hereby objected inasmuch it is vague and ambiguous, and overly broad. Also, the request is irrelevant to Toyota's allegations. The Shipping Act of 1984 provides antitrust immunity in the maritime industry. See, *In re Vehicle Carrier Services Antitrust Litigation*, 2015 WL 5095134 (USDC, D. New Jersey, Not reported in F. Supp. 3d). As interpreted by the United States Supreme Court, in antitrust litigation, "no indirect purchaser is entitled to sue for damages". *California v. ARC America Corp.*, 490 U.S. 92, 100 (1989) ("[W]hatever amount is allocable to federal claims will be distributed only to direct purchasers". *Id.*, at 105.

12. Confirm whether the purported ESFs paid by Claimant form part of Claimant's Cost of Goods Sold (COGS).

Amended Response/Objection: Objection: This interrogatory is hereby objected inasmuch it is vague and ambiguous, and overly broad. Also, the request is irrelevant to Toyota's allegations. The Shipping Act of 1984 provides antitrust immunity in the maritime industry. See, *In re Vehicle Carrier Services Antitrust Litigation*, 2015 WL 5095134 (USDC, D. New Jersey, Not reported in

F. Supp. 3d). As interpreted by the United States Supreme Court, in antitrust litigation, “no indirect purchaser is entitled to sue for damages”. *California v. ARC America Corp.*, 490 U.S. 92, 100 (1989) (“[W]hatever amount is allocable to federal claims will be distributed only to direct purchasers”. *Id.*, at 105.

13. Confirm whether the Manufacturer’s Suggested Retail Price (MSRP) for Toyota vehicles sold in Puerto Rico covers any portion of ESFs allegedly paid by Claimant.

Amended Response/Objection: Objection: This interrogatory is hereby objected inasmuch it is vague and ambiguous, and overly broad. Also, the request is irrelevant to Toyota’s allegations. The Shipping Act of 1984 provides antitrust immunity in the maritime industry. See, *In re Vehicle Carrier Services Antitrust Litigation*, 2015 WL 5095134 (USDC, D. New Jersey, Not reported in F. Supp. 3d). As interpreted by the United States Supreme Court, in antitrust litigation, “no indirect purchaser is entitled to sue for damages”. *California v. ARC America Corp.*, 490 U.S. 92, 100 (1989) (“[W]hatever amount is allocable to federal claims will be distributed only to direct purchasers”. *Id.*, at 105.

14. Explain all efforts made by Claimant to mitigate the purported damages requested by it.

Response: See answers to interrogatories 5 and 6.

15. Confirm whether Claimant used the purported payments made by it with respect to ESFs to reduce the amount of taxable income reported to Puerto Rico tax authorities.

Objection: This interrogatory is hereby objected because it is irrelevant to the issues of the case. Without waiving this objection, the payments made with respect to ESFs were used to reduce the taxable income reported to PR Tax authorities.

16. Confirm whether since October 2011 Claimant has shipped Toyota vehicles to Puerto Rico in containers as opposed to through other alternatives, including Roll On Roll Off.

Response: No.

17. Indicate whether the cargo (i.e. motor vehicles) transported by Claimant to Puerto Rico from October 2011 through 2017, originated from a port outside of the United States of America. If so, indicate from which port(s).

Response: Yes. Veracruz, Mexico; Zeebrugge, Belgium; Toyohashi, Japan.

18. Indicate whether the cargo (i.e. motor vehicles) transported by Claimant to Puerto Rico from October 2011 through 2017, where manufactured outside of the United States of America. If so, indicate the jurisdictions where they were manufactured and how were they transported to the Continental United States of America.

Response: Yes. Some of the motor vehicles transported to Puerto Rico were manufactured in Mexico, Europe and Japan. They were transported by ocean carriers.

19. Identify all *direct* damages purportedly suffered by Claimant as a result of the allegations raised in the Verified Complaint.

Response: Toyota paid \$1,166,952.59 to PRPA on account of the ESF.

20. Identify all *indirect* damages purportedly suffered by Claimant as a result of the allegations raised in the Verified Complaint.

Response: All damages suffered by Toyota were direct.

21. Confirm whether Claimant's affiliates or parent company have provided any credits or reimbursement to cover any portion of the purported ESFs paid by Claimant.

Response: No.

22. Explain exactly what entity charged Claimant the ESFs.

Response: Crowley and Oceanic, acting as collecting agents for PRPA, charged the ESF to Toyota.

23. Did the ocean carriers, including but not limited to Crowley Puerto Rico Services Inc. and Oceanic General Agency Inc., charge Claimant the ESFs directly or was Toyota Motor Company charged those fees.

Response: the ESF was charged directly to Claimant, not Toyota Motor Company.

24. Explain what role Toyota Motor Corporation has regarding the payment of costs and fees for transporting Toyota products and vehicles to Puerto Rico.

Response: None.

25. Explain whether Claimant reimburse its parent company for the ESFs?

Response: No.

I, Daniel O'Neill, declare under penalty of perjury that the foregoing is true and correct.



Daniel O'Neill

In San Juan, Puerto Rico on October 11, 2019.

Notary Public.

RESPECTFULLY SUBMITTED.

In San Juan, Puerto Rico, this ____ day of October, 2019.

CERTIFICATE OF SERVICE: We hereby certify that a true and exact copy of the foregoing document has been sent on this same date by electronic means to counsel for PRPA, Thomas Trebilcock, Esq., ttrebilcock@trebilcockrovira.com.

REICHARD & ESCALERA LLC

Attorneys for

Toyota of Puerto Rico

MCS Plaza, Suite 1000

255 Ave. Ponce de León

Hato Rey, PR 00918

P.O. Box 364148

San Juan, PR 00936-4148

Tel: (787) 777-8888/Fax: (787) 765-4225

/s/Sylvia M. Arizmendi

SYLVIA M. ARIZMENDI

Puerto Rico Bar No. 10,337

U.S.D.C. NO. 210714

E-mail: arizmendis@reichardescalera.com

/s/Alana M. Vizcarrondo-Santana

ALANA M. VIZCARRONDO SANTANA

Puerto Rico Bar No.18,840

U.S.D.C. NO. 301614

E-mail: vizcarrondo@reichardescalera.com

REICHARD & ESCALERA LLC

ATTORNEYS AND COUNSELLORS AT LAW

Exh. 4

MCS PLAZA
TENTH FLOOR
255 PONCE DE LEÓN AVENUE
SAN JUAN, PR 00917-1913
TELEPHONE (787) 777-8888

PO Box 364148
SAN JUAN, PR 00936-4148
FAX (787) 765-4225 - 758-5039
<http://www.reichardescalera.com>
counsellors@reichardescalera.com

October 14, 2019

VIA EMAIL ttrebilcock@trebilcockrovira.com

Mr. Thomas Trebilcock, Esq.
TREBILCOCK LLC
P.O. BOX 367325
SAN JUAN, P.R. 00936-7325

**Re: Toyota de Puerto Rico Corp. v.
Puerto Rico Ports Authority, FMC 19-02**

Dear Thomas:

I write to you in relation to topics 2 and 3 of *Respondent's Notice of Taking of Deposition*, related to whether Claimant passed on to its retailers or end-customers the charges related to the ESF. Toyota had earlier objected to similar questions in interrogatories 9 and 10 of *Respondent's First Set of Interrogatories*, on the grounds that the information sought is legally irrelevant. Toyota intends to similarly object to questions that may be posed in the deposition related to this area of inquiry. The objection is based on the federal law doctrine whereby direct purchasers may claim remedies for an injury to their property regardless of whether they passed on any illegal charges to their customers.

In *Hanover Shoe, Inc. v. United Shoe Machinery Corp.*, 392 U.S. 481 (1968), the Supreme Court rejected the "passing-on defense." There, a direct purchaser sued the lessor of its shoe manufacturing machinery, alleging an illegal overcharge under the Clayton Act. The lessor defended on the grounds that the manufacturer suffered no legally cognizable injury because it passed-on the overcharge in the price charged to its customers. The Supreme Court of the United States held that "a buyer is equally entitled to damages if he raises the price of his own product". *Id.* at 489. The possibility that a plaintiff may have recouped illegal overcharges from its customers is irrelevant in assessing damages. *Id.* at 490.

Illinois Brick Company v. Illinois, 431 U.S. 720 (1977), reaffirmed *Hanover Shoe*. The Supreme Court held "we decline to abandon the construction given §4 [of the Clayton Act] in *Hanover Shoe*

that the overcharged direct purchaser, and not others in the chain of manufacture or distribution, is the party injured in his business or property”... *Id.* at 729.

More recently in *California v. ARC Am. Corp.*, 490 U.S. 93, 100 (1989), the Supreme Court restated the state of federal antitrust law as follows: “Under federal law, no indirect purchaser is entitled to sue for damages for a Sherman Act violation [...]”¹

Considerations similar to those behind the no-pass-on defense under the Sherman Act, compel the same result under the Shipping Act. Like the Sherman Act,² the Shipping Act³ seeks to promote competition and efficient ocean transportation by placing a greater reliance on the marketplace. 46 U.S.C. §40101(4).⁴ The Shipping Act allows the FMC to award reparations to persons injured by violations of the act’s prohibitions. 46 U.S.C. §41301. As with the Sherman Act, those directly impacted by such violations have the greatest incentive to bring claims to enforce its provisions, regardless of whether they passed the overcharges on to their customers through increases in prices.

Accordingly, Toyota will object as legally irrelevant to the referenced claim, whether it passed-on the illegal electronic scanning fee to its customers through prices increase in its vehicles.

If you would like to discuss this matter further, I will welcome the opportunity.

Sincerely,

A handwritten signature in blue ink, appearing to read "Sylmarie Arizmendi".

Sylmarie Arizmendi

c Alana Vizcarrondo

¹ See also *Holmes in Southern Pacific Co. v. Darnell-Taenzer Lumber Co.*, 245 U.S. 531, 533 (1918) and *Adams v. Mills*, 286 U.S. 397, 406-408 (1932), for a similar result under transportation laws, cited in *Hanover Shoe* at p. 490, for the proposition that the possibility that plaintiffs recouped overcharges from customers is irrelevant in assessing damages.

² The Sherman Act prohibits price discrimination when the result is to lessen or destroy competition or create a monopoly. 15 U.S.C. §13.

³ The Shipping Act of 1984 prohibits marine terminal operators from imposing an unreasonable prejudice or disadvantage to any person. 46 U.S.C. §1709

⁴ The FMC seeks to “ensure a competitive and reliable international ocean transportation supply system that supports the U.S. economy and protects the public from unfair and deceptive practices.” <https://www.fmc.gov/about-the-fmc/>.